

allows for radical interoperability beyond what could ever be achieved in the traditional-finance world. Finally, the public nature of DeFi fosters trust and security in strong contrast to the opacity of today's centralized systems.

DeFi can even directly distribute value to users to incentivize its growth, as demonstrated by Compound (via COMP) and Uniswap (via UNI). *Yield farming* is the practice of seeking rewards by depositing into platforms that incentivize liquidity provisioning. Token distributions and yield farming have attracted large amounts of capital to DeFi over very short time windows. Platforms can engineer their token economics to both reward their innovation and foster a long-term sustainable protocol and community that continues to provide value.

Each DeFi use case embodies some of these benefits more than others and has notable drawbacks and risks. For example, a DeFi platform, which heavily relies on an oracle that is more centralized, can never be as decentralized as a platform that needs no external input to operate, such as Uniswap. Additionally, a platform such as dYdX with some off-chain infrastructure in its exchange cannot have the same levels of transparency and interoperability as a platform without off-chain components.

Certain risks like scaling and smart contract vulnerabilities plague all DeFi, and overcoming them is crucial to DeFi's achieving mainstream adoption. The benefits of DeFi will be limited to only the wealthiest parties if the underlying technology cannot scale to serve the population at large. Inevitably, the solutions to the scaling problem will come at the